

Case No. 8-25-72526-spg

UNITED STATES BANKRUPTCY COURT
EASTERN DISTRICT OF NEW YORK

In Re:

Chapter 11

IPA ASSET MANAGEMENT, LLC,

Debtor,

MEMORANDUM

Re: Fraud on the Court

August 25, 2026

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TABLE OF CONTENTS

SUMMARY	1
I. BACKGROUND LEADING TO BANKRUPTCY.....	1
II. THE DEBTORS' SUBMISSIONS ARE REplete WITH MISREPRESENTATIONS AND MATERIAL OMISSIONS	5
III. THE DEBTOR IS TRYING TO HIDE A SUBSTANTIAL PORTFOLIO OF RENTAL PROPERTIES AND OTHER ASSETS AND INCOME	14
IV. THE DEBTOR FAILED TO DISCLOSE ITS TRANSACTIONS, AGREEMENT, AND INTERCONNECTED OPERATIONS WITH AFFILIATED ENTITIES	22
CONCLUSION	25

Creditor MARIE HOLDINGS, INC., by its undersigned counsel, respectfully submits this memorandum pursuant to the Court's August 14, 2026 Order (ECF No. [148](#)) scheduling a hearing to investigate potential fraud on the Court by the Debtor and its principal.

SUMMARY

The Debtor's misrepresentations and omissions to this Court have been willful, egregious, and extraordinary. There have been blatant misrepresentations throughout its petition, schedules, amended schedules, and operating reports. It failed to disclose a portfolio of rental properties and other assets and income, numerous pre-petition transfers, or its relationships and business arrangements with the numerous alter ego or affiliate entities.

I. BACKGROUND LEADING TO BANKRUPTCY

Since late 2023, David DeRosa has promoted IPA Asset Management, LLC by claiming it "currently manages assets exceeding \$260 million." (Marketing Material, **Exhibit "A"**). For the preceding decade until at least July 2025, IPA Asset Management, LLC, maintained a website advertising its "20+ year track record managing investment properties for local and international investors." *Id.*

The underlying business operations are riddled with fraud. As DeRosa described in prior sworn statements, he raises funds from investors to acquire properties in foreclosure, convinces the owners to sign over deeds, then either rents

them or tries to fix and flip them while negotiating or litigating with the foreclosing lenders. (DeRosa 10/7/2024 Affidavit, **Exhibit “B”**). In many circumstances, the Debtor purposely does not record deeds so that it can mislead lenders and third-parties as to the ownership and use of the property. (1/11/2021 Ltr from S.McKinley, Pg. 3, **Exhibit “C”**). When an LLC is created for a particular property rather than being held directly by the Debtor, the Debtor acts as a managing agent. (See, e.g., **Exhibit “V,”** Pgs. 107 – 186; **Exhibit “Z”**; and **Exhibit “JJ”**).

The Debtor would collect rental income, but not pay the mortgage or taxes, profiting at the expense of the foreclosing lender, the government, and the prior owners. In some instances, the underlying mortgages were FHA-backed loans, including 8 Stanley Dr., Shirley (Index No. 621887/2017), 59 Beecher Ave, E. Islip (Index No. 601308/2015), 21 Litchfield Ave, Babylon (Index No. 063761/2014 (21 Litchfield Ave, Babylon); 1091 Gardiner Ave, Bay Shore (Index Nos. 622937/2023 and 617592/2025), and 21 Oak Street, Alberston (Index No. 610834/2024), The Debtor was aggressive in collecting rents and obtaining money judgments against delinquent tenants. (See 2021 McKinley Ltr, **Exhibit “C,”** Pg. 3; 2025 Brookhaven L&T Files, **Exhibit “V”**). In some instances, it received rents from government assistance programs, including NYS Emergency Rental Assistance and Section 8. (See **Exhibit “V,”** Pgs. 1-39 and 222-239; and **Exhibit “W”**).

Marie Holdings was a foreclosing lender that was harmed as part of the foreclosure rescue scam. The property had approximately \$500,000 in equity at the time, but DeRosa convinced the prior owner to sign over title in exchange for \$20,000

and a promise of 20% of future profits by representing that his firm was “uniquely qualified in assessing the value of property” and “the present resale value of the subject premises is less than the debt,” but that they would “defend the impending foreclosure” “for the purpose of making certain improvements to the Subject premises so as to increase the resale value,” and they would “bear the cost” and “at no time will the owner be responsible for any costs associated with the property.” (Property Improvement and Sale Agreement, **Exhibit “D”**; *See also* DeRosa 2017 Affidavit, **Exhibit “E”**). DeRosa claimed had at least \$700,000 available for the project (*Id.*), but the money disappeared, he failed to maintain or repair the premises, failed to pay the mortgage or taxes, and a deficiency judgment was granted against the prior owner for over \$1.6 million. (Orders re 132 West 130th Street, Index No. 810052/2011, **Exhibit “F”**).

This bankruptcy was primarily precipitated by one of the Debtor’s investors, Mangotree Real Estate Holdings, LP, seeking to compel the sale of five properties to enforce a money judgment. One of DeRosa’s investors, Rakesh Bhagarva, formed Mangotree as a vehicle to solicit third-party investments, upon information and belief mostly from India, and they operated a lucrative joint venture for 10 years. (DeRosa 10/7/24 Aff., **Exhibit “B”**; R.Bhagarva 3/30/2021 Aff, **Exhibit “G”**).

DeRosa’s relationship with Bhagarva unraveled when Mangotree “entrusted DeRosa with nearly \$16 million dollars to acquire fifty-six Assets,” after which “IPA and DeRosa diverted Monies” and “misrepresented transactions.” (R.Bhargava 3/30/21 Aff., **Exhibit “G,”** Pgs. 6 and 16). The property Marie Holdings was

foreclosing on was one of those transactions, and Mangotree claimed DeRosa had stolen \$405,000 it wired him for that project. (Mangotree Property Schedule, **Exhibit “H”**).

Mangotree and DeRosa settled their dispute with IPA agreeing to buy-out Mangotree’s equity investment, with the purchase secured by mortgages and a confession of judgment jointly against DeRosa, the Debtor, and nine affiliated entities. (Mangotree Settlement, **Exhibit “I”**; Confession of Judgment, **Exhibit “J”**). As DeRosa’s counsel described, while “the original agreement between IPA and Mango was a joint venture that called for a sharing of the Profits and Losses, IPA bore all the risk of loss in the ultimate settlement agreement.” (McKinley 10/8/2024 Aff, Pg. 4, **Exhibit “K”**; *See also* DeRosa 10/7/2024 Aff, **Exhibit “B”**).

In the two years preceding this action, pursuant to their settlement agreement, the Debtor made over \$1 million in direct payments to Mangotree and sold at least nine investment properties. Specifically, in that two year period, the Debtor wired Mangotree \$1,072,528.45 in periodic payments, and it sold three properties and disbursed most of the proceeds to Mangotree: 31 Pineview (\$362,347.18), 3581 Middle Country Rd (\$265,924.60), and 115 Patton (\$313,491.67). (*See* 8/9/24 IPA Asset Management LLC Quickbooks Printout, **Exhibit “L”**; 7/17/2024 Mangotree Ledger, **Exhibit “M”**). In addition, the proceeds from the sale of five properties, four of which were titled to IPA, were held in escrow by the Debtor’s counsel, as follows: 64 North 16th Street, Wheatley Heights (\$431,597.75), 4 Calverton Court, Calverton (421,349.01), 38 Parkside Ave, Miller Place (\$386,187), 47 Wilson Ave, Middle Island

(\$648,357.58), and 51611 Granny White Pike, Nashville, TN (\$648,357.58). (See 6/30/2025 Escrow Accounting, **Exhibit “N”**).

However, part of what prompted Mangotree to record and seek to enforce its confession of Judgment was that it discovered the Debtor had secretly sold two other properties -- 724 Old Post Road, Escopus, for \$1.2 Million; and 85 Hudson Street, Kingston, for \$315,000 -- without its knowledge or consent and was trying to hide the proceeds. (2024 Correspondence between Debtor and Mangotree’s counsel, and mediator, **Exhibit “O”**; 724 Old Post Property Record, **Exhibit “P”**; 85 Hudson Property Record, **Exhibit “Q”**)

To enforce its judgment, Mangotree identified five properties that it sought to sell at auction, prompting the Debtor to file this action and a related bankruptcy, *In Re 31FO, LLC*, Case No. 24-73893, so as to trigger the automatic stay.

II. THE DEBTORS’ SUBMISSIONS ARE REPLETE WITH MISREPRESENTATIONS AND MATERIAL OMISSIONS

In the Debtor’s initial petition, filed June 27, 2025 (ECF No. [1](#)), the only assets it discloses are four of the properties that Mangotree was seeking to sell in order to satisfy the Confession of Judgment that DeRosa entered into jointly on behalf of himself, the Debtor and nine other entities. (See **Exhibit “J”**). Those properties are:

- 8 Heron Path, Coram
- 119 Hidden Ponds Cir., Smithtown

- 26 Appel Dr., Shirley, and
- 91 West Shore Road, Huntington

In his sworn declaration, the debtor's principal, David DeRosa, affirmatively states that the debtor "currently holds title to four residential properties in Suffolk County," and represented that a schedule of leases would be forthcoming, but now more than a year later that schedule still has not been produced. (*Id.*). In its list of lawsuits, the Debtor identified one of its own attorneys as the contact person for Marie Holdings (*Id.*), resulting in it not being served with this petition, but instead learning about it from a court clerk who saw that a different IPA proceeding had been stayed.

In DeRosa's sworn statements on behalf of the debtor in Forms 202, 204, 206, and 207 (ECF No. [8](#)), filed July 29, 2025, he states:

- The Debtor has no cash, no deposits, no accounts receivable, no investments, and no interest in any office furniture, fixtures, or equipment (Form 206A/B Parts 1 – 4, 7);
- It only owns those four properties: 8 Heron Path, 119 Hidden Ponds Cir., 26 Appel Dr., and 91 West Shore Rd (Form 206A/B Par 9);
- It had no other assets, including executory contracts or unexpired leases (Form 206A/B parts 11 and 12);
- It has unknown tax liabilities, which it plans to dispute whatever they may be (Form 206E/F Part 1)
- It has no non-priority unsecured claims (Form 206E/F Part 2);

- Its only contracts consist of leases for 26 Appel Drive and 91 West Shore Road, as well as a “month to month lease with affiliate at no rent” to IPE Holdings. (Form 206G);
- It has no co-debtors (despite the impetus for this and the related 31FO bankruptcy filing being DeRosa’s settlement with Mangotree on behalf of himself, his sister, and 16 business entities and their efforts to enforce a confessional of judgment that was against him and 10 business entities jointly) (Form 206H);
- That it had \$79,200 in rental income for 2024 and \$38,600 in the first half of 2025 (Form 207 Part 1); and
- That it made no payments or transfers that benefited an insider within 1 year of filing (Form 207 Part 2);
- That the 18 lawsuits it identified constituted all legal proceedings it had been involved in within 1 year of filing the Petition (Form 207, Part 3);
- That it was the entity that paid its attorneys’ bankruptcy retainer, and that it had made no transfers in the two year preceding the action except in the ordinary course of business (Form 207, Part 6);
- That it has not used any other addresses in the prior 3 years (despite having relocated to 270 Spagnoli Road, Melville, after its office was damaged by fire in 2022) (Form 207, Part 7);
- That there are no other businesses in which the debtor has or had an interest or exercised control over within 6 years prior to filing bankruptcy (Form 207 Part 13); and
- That the Debtor has not used any accountant or bookkeeper other than David DeRosa has access to its books and records (Form 207 Part 13).

Above Mr. DeRosa's signature line on both forms 202 and 207 the words:

WARNING – Bankruptcy fraud is a serious crime. Making a false statement, concealing property, or obtaining money or property by fraud in connection with a bankruptcy can result in fines up to \$500,000 or imprisonment for up to 20 years, or both. 18 U.S.C. §§ 152, 1341, 1519 and 3571.

I declare under penalty of perjury that the foregoing is true and correct.

Executed on July 11, 2025

/s/ David De Rosa

In the Debtor's first operating report, filed on August 1, 2025, DeRosa continued to declare under penalty of perjury that the Debtor had no cash, no income, made no disbursements, and made no payments to professionals. (ECF No. [9](#)).

Two months later, on October 8, 2025, the Debtor submitted further operating reports under penalty of perjury reiterating that it had no cash, no income, had made no disbursements, and retained no professionals. (ECF No. [34](#)). On that same date, the Debtor made a correction to its prior disclosures to state that its bankruptcy counsel was actually paid by an affiliated entity, also solely owned by Mr. DeRosa, named Mid-Hudson Property Services, LLC. (ECF No. [36](#)).

On December 9, 2025, the foreclosing lender on an undisclosed property, 8 Stanley Drive, Shirley, New York 11967, requested stay relief. (ECF No. [44](#)). The Debtor had failed to disclose that it was a party to a foreclosure, and was also appearing for and providing a defense on behalf of the prior owner who remained

obligated on the unpaid mortgage after turning over title to the Debtor in 2014. (*Deutsche Bank v. Maribille*, Index Nos. 002164/2007 and *Deutsch Bank v. IPA Asset Management, LLC*, Index No. 621887/2017). As noted in IPA's Verified answer, it was aware that the mortgage on 8 Stanley Drive was an FHA Loan, and thus it is one of the instances where DeRosa's rent and equity skimming scam was not only defrauded the lender and potentially the prior owner, but also the Federal Government. See 12 U.S.C. § 1709-2; (See *Id.*, Index No. 621887/2017, NYSCEF No. [12](#)). IPA Asset Management LLC filed a nonpayment eviction petition regarding this property on July 15, 2025, entered into a stipulation of settlement with a tenant on August 13, 2025, and obtained a \$2,950 judgment on September 19, 2025 (Index No. LT-1578-25/BR); 2025 L&T Records from 6th Dist Ct., **Exhibit "V,"** Pg. 282 - 289).

On December 17, 2025, the foreclosing lender for another undisclosed property, 8 Heron Ave, Coram, NY 11727, requested stay relief. (ECF No. [48](#)). After stay relief was granted, the foreclosure litigation continued, and on April 15, 2026 the Debtor obtained an order dismissing the foreclosure as time-barred under the Foreclosure Abuse Prevention Act. See *HSBC v. IPA Asset Management*, 248 A.D.3d 1003 (2d Dept. Apr. 15, 2026). Nonetheless, two months later, the Debtor convinced the Trustee to seek abandonment based on claiming that the mortgage debt exceeded the value of the property, and later stipulated to vacate that abandonment after their trickery was discovered. (ECF Nos. [121](#) and [158](#)).

On February 2, 2026, the Debtor filed a series of amended operating reports (ECF Nos. 65 – 71), affirming under penalty of perjury that it only had \$6,600 in

income in January 2026, that it had \$46,225 in total income during the bankruptcy, with \$33,343 in disbursements, for a total of \$17,860 in cash on hand. (ECF No. [71](#)). The Debtor claimed that it was current on post-petition tax filings and estimated tax payments. *Id.* It reiterated that it had not retained any professionals. *Id.* The Debtor attached Quickbooks profit and loss details, but only for the four properties it had initially disclosed, and continued to claim that the only rent it was receiving was \$4,100 per month for 91 West Shore Road and \$2,100 per month in rent for 26 Appel Drive, Shirely.

Notably, the Debtor's Quickbooks reports reflect that it was operating without a bank account in its own name, and instead using accounts at M&T Bank under the names of affiliated entities IPE Realty and Mid-Hudson, and its expenses include a management fee to another affiliate entity, Alba Management, LLC.

On March 25, 2026, the foreclosing lender for another undisclosed property, 2 Fox Path, Coram, New York 11727, requested stay relief (ECF No. [90](#)). While failing to disclose this property to this Court or failing to disclose the bankruptcy to State Court, the Debtor was actively litigating a foreclosure, had the property appraised, and made a \$235,000 settlement offer in connection with attempting to negotiate a short pay on the mortgage. (*US Bank v. Horne*, Index No. 612886/2023, NYSCEF No. [80](#) and [82](#)).

On April 13, 2026, the Debtor filed amended schedules. (ECF No. [93](#)). The schedules contain sworn statements claiming that the Debtor had no cash or cash

equivalents, no accounts investments, and no furniture, fixtures or equipment. *Id.*

It disclosed a total of ten properties, as follows:

- 59 Beecher Avenue, East Islip, NY 11730
- 83 Ann Drive Sout, Freeport, NY 11520
- 119 Hidden Ponds Cir., Smithtown, NY 11787
- 2390 Bedford Ave, Bellmore NY 11710
- 91 West Shore Road, Huntington, NY 11743
- 2 Fox Path, Coram, NY 11727,
- 184 West 3rd St., Deer Park, NY 11729
- 12 Mallard Path, Coram, NY 11727,
- 1 Driftwood Lane, St. James, NY 11780
- 8 Stanley Drive, Shirley, NY 11967

Id.

The Debtor disclosed that its attorney was holding the proceeds from three pre-petition sales in escrow, for the properties at 38 Parkside Avenue, 4 Calverton Court, and 54 North 16th Street. (*Id.*, Part 11). It denied that any of the properties had been recently appraised, despite having claimed in state court a month earlier that it had a recent appraisal for 2 Fox Path (*Id.*, Ln. 79). Despite disclosing additional rental properties, it did not update income figures, and still claimed to have grossed only \$79,200 for 2024. (Form 207, Part 1). It claimed there were no transfers to creditors within 90 days of filing, and no transfers to insiders within 1 years of filing. (*Id.*, Part 2). Although having previously corrected the error and disclosing that Mid-Hudson

Property Services was paying its counsel, the Debtor omitted that correction from its amended schedule. (*Id.*, Part 6).

Notably, in all of its filings, the Debtor has fail to disclose its current address, as it appears to have been operating from 270 Spagnoli Road, Melville, following a fire in its 45 Sarah Place office in 2022. (*id.*, Part 7).

In its amended schedules from April 2026 (ECF [93](#)), the debtor removed two of the four properties it originally disclosed from its list of assets, and instead listed them as pre-action transfers, noting that it had transferred title to single-purpose LLC. (Schedule at ECF 93, Pg. 12). In addition, it disclosed that it had transferred for 230 Ralph Avenue, Babylon, NY 11702 from the Debtor to an affiliate LLC, 230r LLC.

In its amended schedules, the Debtor lists 20 Whitman Avenue, Islip, NY 11751 as having been transferred pre-action to U.S. Bank. *Id.* The Debtor fails to disclose that they are continuing to contest the foreclosure and/or provide a defense to the prior homeowner, and have a fully briefed appeal pending under 2nd Department Case No. 2024-08979.

On April 22, 2026, the foreclosing lender against 59 Beecher Avenue, East Islip, New York 11730 sought stay relief. (ECF No. [103](#)). This is another instance of the Debtor skimming rent and equity from a property with an FHA-backed mortgage that is in foreclosure. The Debtor took title in March 2026 for nominal consideration and has been renting it out for nearly a decade at \$2,400 per month, without

disclosing the change of ownership and occupancy to the foreclosing lender, but assigning counsel to appear and defend on behalf of the borrower, without making any mortgage payments and while forcing the lender to advance over \$100,000 in taxes. (See *Deutsche Bank v. Martinez*, Index No. 601308/2015); See 59 Beecher Listing History, **Exhibit “R”**). There is an appeal pending under Second Department Case No. 2026-01600, wherein Debtor’s counsel is seeking a stay of the foreclosure auction, and one of their arguments for further delaying the foreclosure is that it was improper for the lender to discontinue against one of the prior owners and waive their claim to a deficiency judgment against them. (See Case No. 2026-01600, NYSCEF No. [5](#)).

On May 12, 2026, Kenneth Bernard was appointed as Chapter 11 Trustee. (ECF No. [110](#)).

On June 3, 2026, the foreclosing lender against 184 W 3rd St. Deer Park, New York 11729 sought relief from the automatic stay. (ECF No. [118](#)). The Debtor is a named Defendant in the underlying foreclosure, Suffolk County Index No. 605965/2021, and filed a quiet title action that was dismissed, Suffolk County Index No. 605965/2021, claiming title and having taken possession of the property in 2016 via a deed from a reputed “heir at law” of the deceased owner without obtaining formal appointment of an estate representative, which they delayed recording until January 15, 2021.

On August 14, 2026, the Court entered an Order (ECF No. [148](#)) scheduling an evidentiary hearing to investigate whether “(i) David DeRosa on behalf of the Debtor

and/or himself may have committed fraud on the Court; and (ii) sanctions should be imposed against David DeRosa pursuant to Bankruptcy Code § 105(a) and/or rule 9011 of the Federal Rules of Bankruptcy Procedure.”

III. THE DEBTOR IS TRYING TO HIDE A SUBSTANTIAL PORTFOLIO OF RENTAL PROPERTIES AND OTHER ASSETS AND INCOME

From a limited review landlord tenant matters and other related investigation, we have identified at least 22 undisclosed properties that are being rented out by the Debtor, and there appear to be many more. The Debtor failed to disclose these assets, the income from the assets, any of its landlord tenant litigation, any type of property management agreement, or any of the numerous money judgments it has obtained. We have also identified at least six additional pre-action transfers involving the debtor, and there are presumably many more; and as the managing agent or servicer or other relationships with all of DeRosa’s various other entities the Debtor should have an interest in numerous other properties and real estate investments.

In addition to failing to disclose the properties and litigations, the Debtor repeatedly swore that payments to professionals were “n/a,” despite routinely employing a attorneys in state court, with the same four or five attorneys appearing in costly litigation on behalf of the debtor, its affiliates, and prior property owners that DeRosa promised to defend and indemnify when they signed over title to their properties. The same group of attorneys appear to routinely engage in transactional

work on behalf of the debtor and other entities, with DeRosa often referring the other parties he is transacting business with to one of the attorneys he regularly employs.

There is no indication in the Debtors' schedules that these attorneys have been engaged, let alone how they are being paid, or what sort of continuing defense and indemnity obligations the Debtor has committed itself to. There is also the potential the debtor has an interest in additional escrowed funds.¹ In these proceedings, the Debtor's counsel is being paid by Mid-Hudson Property Services, and at one point sale proceeds from IPA properties from one of DeRosa's state court attorneys, initially labeled the funds as belonging to 31FO LLC, but not disclosing them in either bankruptcy, and the funds were not disclosed until the issue was raised in connection with prior motion practice. (See **Exhibits "L" and "N"**).

The undisclosed properties we have discovered thus far are as follows:

- **504 Browns Road, Nesconset, NY** – On July 8, 2026, IPA Asset Management, LLC, obtained a warrant to evict a disabled 83-year old tenant who fractured her hip after tripping and falling on a defect at the property. (504 Browns Road Records, **Exhibit "S"**). The lease is with the Debtor, but DeRosa previously instructed the tenant to pay rent to IPA Asset Management III, LLC, and then on August 28, 2024, Berina Huron, via an email identifying herself as a Property Manager for IPA Asset Management, LLC, directed the tenant to make future payments to IPE Realty, LLC, instead. Then, on January 14, 2025, in connection with negotiations to re-acquire the property after it had been lost at a foreclosure auction on December 17, 2024, DeRosa instructed the tenants to stop paying rent entirely,

¹ One aspect of the real estate fraud scheme for which DeRosa was convicted in the 1990's was having investors send funds to his attorney in escrow but advising the attorney they were his personal funds. See *Shapiro v. McNeill*, 92 N.Y.2d 91 (1998); *Matter of Bleecker*, 242 A.D.2d 42 (1998).

refunded their security deposit via a check from Mid-Hudson Property Services, LLC, advised them that he would provide counsel to defend them if an eviction were filed, and they executed a conflict waiver with Matthew Tennanbaum. After frustrating the successful bidder's efforts to close and negotiating to take an assignment of their bid, the Debtor proceeded to file an eviction petition on January 9, 2026, verified by DeRosa, seeking back rent for the prior year during which DeRosa had told the tenants not to pay. The tenants appeared *pro se*, and signed a confusingly worded stipulation that provided both for a judgment of "0" with an extension of time to vacate, but also for interim payments and consenting to a judgment for nearly \$30,000 in arrears. After the tenant paid the Debtor another \$800 (paid to IPE Realty as instructed), DeRosa proceeded to enter a judgment and warrant of eviction. *Id.*

- **1140 Flanders Road, Riverhead, NY 11901** – The Debtor holds a 34% interest in this property, with the remaining 66% held by one of Mr. Schuman's entities, which makes the continuing non-disclosure particularly odd given Mr. Schuman's involvement in these proceeding. (See 1040 Flanders Records, **Exhibit "T"**). The Debtor failed to record the deed after selling a two-thirds interest to Schuman, and DeRosa thereafter concealing the unrecorded deed and misrepresented to the Town of Southampton that one of his other companies was the sole owner of the property. *Id.* The Town agreed to purchase the property for \$1,147,000, and upon learning of the deception successfully moved to intervene in Mr. Schuman's partition action. *Id.*
- **21 Litchfield Ave, Babylon, NY 11702** – On April 29, 2026, the Debtor sued to recover unpaid rent from a tenant who vacated the premises in August 2025. (**Exhibit "U,"** Records from Suffolk Co. Index No. 611980/2026). One of the Debtor's attorneys has appeared for the prior owner and is defending/delaying the foreclosure without disclosing the change in ownership and occupancy. The underlying mortgage is an FHA loan. (See *HSBC v. Vance*, Suffolk County Index No. 063761/2014, NYSCEF No. [66](#))

- **183 Mark Tree Rd, Centereach, NY 11720** — On March 13, 2026, IPA Asset Management LLC filed an eviction petition, verified by and with pre-eviction notices sent by DeRosa on behalf of the Debtor. (See 6th District Court 2025 L&T Case Files, **Exhibit “V”**, Pgs. 208-221, Index No. LT-825-26/BR). The case resolved by a May 6, 2026 stipulation of settlement granting possession, with a stayed warrant and a conditional \$5,600.00 consent judgment if the respondents do not vacate by June 20, 2026. *Id.*
- **54C Aylesbury Court, Unit 1, Ridge, NY 11961** — On February 3, 2026, IPA Asset Management LLC filed an eviction petition, verified by and with pre-eviction notices sent by DeRosa on behalf of IPA Management as "Owner/Landlord." (**Exhibit “V”**, Pgs. 222-239, Index No. LT-307-26/BR). Nassau/Suffolk Law services appeared and answered on behalf of the tenant, asserting an affirmative defense the tenant was a Section 8 recipient and the Debtor was demanding unlawful rent from the tenant. *Id.* The eviction petition was withdrawn shortly after.
- **577 Starlight Dr., Unit 1, Shirley, NY 11967** — On July 15, 2025, IPA Asset Management LLC filed an eviction petition, verified by and with pre-eviction notices sent by DeRosa on behalf of IPA Management as "owner." (**Exhibit “V”**, Pgs. 300 – 312, Index No. LT-1579-25/BR). The matter appears to have been settled and withdrawn.
- **24 Longview Drive, Unit 1, Wading River, NY 11792** — On July 2, 2025, IPA Asset Management LLC filed a nonpayment eviction petition, verified by and with pre-eviction notices sent by DeRosa on behalf of IPA Management as "owner." (**Exhibit “V”**, Pgs. 265-281, Index No. LT-1456-25/BR). On August 1, 2025, IPA Asset Management obtained a judgment for \$5,002.00. *Id.*
- **639 5th Street, Ronkonkoma, NY 11779** — On June 20, 2025, IPA Asset Management filed an eviction petition, verified by and with pre-eviction notices sent by DeRosa on behalf of IPA Management as "owner." (**Exhibit “W,”** 5th District Court Index No. LT-889-25/IS). Nassau/Suffolk Law Services appeared on behalf of the tenant, upon information and belief because this was another situation where the

Petitioner was illegally trying to collect excessive rent from a Section 8 tenant, and the petition was withdrawn shortly after. *Id.*

- **172 Holiday Blvd, Unit 1, Center Moriches, NY 11934** — On May 7, 2025, IPA Asset Management filed an eviction petition against, verified by and with pre-litigation notices signed by DeRosa on behalf of IPA Asset Management, LLC as “owner.” (**Exhibit “V,”** Pgs. 240 – 247, Index No. LT-1095-25/BR). The non-payment proceeding appears to have been settled and withdrawn.
- **253 Hampton Avenue, Patchogue, NY 11772** — On May 6, 2025, IPA Asset Management filed a nonpayment eviction petition, which DeRosa verified and signed pre-petition notices on behalf of IPA Asset Management, LLC as “owner.” (**Exhibit “V,”** Pgs. 248 – 264, Index No. LT-1096-25/BR). A stipulation of settlement was entered into on June 4, 2025, but the tenant appears to have defaulted, and on June 26, 2025, IPA Asset Management obtained a judgment for \$8,716.00.
- **1091 Gardner Drive, Bay Shore, NY 11706** – IPA commenced an action in 2023 to recover rental arrears for this property. (1091 Gardiner Records, **Exhibit “Y”**). During an inquest, Heidi Volovic (who appears to work jointly for all of DeRosa’s entities), testified that she works as a property manager for IPA Asset Management LLC, produced a deed to the property and a rent ledger, and testified that a security deposit was held and credited toward the tenants’ arrears, and on January 24, 2025 a Judgment was entered in favor of IPA Asset Management LLC in the sum of \$18,596.10. *Id.* The deed produced at the inquest under 617865/2023 is not recorded, and there is a series of other transfers reflected in the Suffolk County Clerk’s records. The property was sold to another purchaser while DeRosa was delaying recording the deed to IPA, prompting litigation to maintain ownership and control of the property. *IPA Asset Management LLC v. 1091 Gardiner Inc.*, 622937/2023. The underlying mortgage was an FHA Loan, and DeRosa sued Fannie Mae under the name 1091G LLC to compel it to accept a short payoff on the mortgage. *1091G LLC v. Federal National Mortgage Association*, Suffolk County Index No. 617592/2025. It appears to

have settled that action, and DeRosa refinancing the property on June 29, 2026.

- **665 North Dunton Ave, Patchogue, NY** – IPA Asset Management, LLC filed an action under Suffolk Co. Index No. 609251/2021, alleging that it was the Managing Agent for the owner of record, 665N, LLC, and seeking to recover unpaid rent. (665 North Dunton Records, **Exhibit “Z”**). At an inquest on September 5, 2024, Yvonne Gillespie testified that she was “employed” by “IPA Asset Management, LLC,” which was the property manager for the premises. (*Id.*, inquest minutes, Pg. 6). The Debtor marked a “property improvement and sale agreement” for 665N, LLC – substantially the same form they used in connection with the property Marie Holdings was foreclosing upon, 132 West 130th LLC, **Exhibit “D”** – as well as a deed, lease, and rental ledger. (**Exhibit “Z”**). On November 19, 2024, IPA Asset Management, LLC obtained a judgment in the sum of \$49,571,51. *Id.* There is a pending foreclosure against the premises, *Bank of America v. Moreno*, Suffolk County Index No. 601338/2025.
- **161 Hampton Avenue, Mastic, NY** – On December 29, 2022, the debtor commenced an action to recover rent arrears for 161 Hampton Avenue, Mastic. (161 Hampton Records, **Exhibit “AA”**). On May 23, 2023, DeRosa submitted an affidavit in support of a motion for default judgment. At the January 16, 2024 inquest, Yvonne Gillespie testified that she is “employed with” IPA Asset Management, and authenticated a deed, lease, and rent ledger. On June 3, 2024, a Judgment was entered in favor of the debtor in the sum of \$32,107.01.
- **132 East 34th Street, Huntington Station, NY** – On September 1, 2022, the Debtor commenced an action for unpaid rent related to this premises. (132 East 34th Street Records, **Exhibit “BB”**) On January 19, 2023, David DeRosa submitted an affidavit on behalf of the debtor in connection with seeking a default judgment. On June 4, 2024, the Debtor obtained a Judgment in the sum of \$31,280.00.

- **82 Lynbrook Drive, Mastic Beach, NY 11951** — On August 3, 2022, IPA Asset Management filed a civil action to collect unpaid rent from a tenant who had vacated the premises. (6th District Records, **Exhibit “V,”** Pgs. 1 – 39, Index No. CV-1683-22/BR). David DeRosa verified the petition and signed a sworn affidavit indicating that IPA Asset Management, LLC owned the premises, and the records indicate that the Debtor applied for emergency rental assistance on behalf of the tenant and received \$19,200 from the State in June 2022, a month prior to filing the action. *Id.* On May 12, 2023, the Debtor obtained a judgment for \$5,421.22. The deed to this property was not recorded, and DeRosa’s counsel has appeared to defend/stall the foreclosure on behalf of the prior owner without disclosing the change in ownership or occupancy, and the loan had been subject to a prior hardship modification in 2012. (Index No. 021683/2013).
- **90 Traction Boulevard, Patchogue, NY 11772** — on September 19, 2025, IPA Asset Management obtained a judgment for \$16,366.92. On March 21, 2023, IPA Asset Management obtained a judgment for \$6,375.00 for unpaid rent related to this premises. (**Exhibit “V,”** Pgs. 187 – 202, Index No. CV-2530-24/BR). A prior eviction proceeding had been filed on August 3, 2022, verified by and with pre-action notices signed by David DeRosa on behalf of IPA Asset Management, LLC, which was settled on May 31, 2024. *Id.* On September 5, 2024, after the tenant vacated, IPA Asset Management filed a second action seeking to collect back rent and was awarded a default judgment.
- **21 Ethan Circle, Middle Island, NY 11953** — In or around October 2023, the Debtor settled a claim for back rent against a former tenant who had moved to vacate a \$6,375.00 default judgment. (**Exhibit “V,”** Pgs. 65 – 106, Index No. CV-1770-22/BR). On August 12, 2022, IPA Asset Management filed an eviction petition, verified by DeRosa on behalf of IPA Asset Management as the owner of the premises, and a default judgment had been awarded on March 21, 2023. *Id.*
- **1 Jefferson Commons, Yaphank, NY 11980** — On July 31, 2023, IPA Asset Management filed a petition to collect back rent from a

former tenant, which verified by DeRosa and with accompanying notices, lease, and affidavits indicating that IPA Asset Management was the managing agent for 1JE, LLC (**Exhibit “V,”** Pgs. 107 – 186, Index No. CV-1837-23/BR). On April 4, 2025, the plaintiffs obtained a judgment for \$23,110.00. *Id.*

- **39 Zophar Mills Road, Wading River, NY 11792** — On January 23, 2025, tenants Melinda Reinstein and Dylan Reinstein filed a Verified Complaint against IPA Asset Management, LLC and David DeRosa personally, seeking \$13,981.48 for unrefunded rent/security and hotel costs after the rental unit allegedly became uninhabitable following a chimney fire, and the matter settled. (**Exhibit “V,”** Pgs. 203 - 207, Index No. CV-275-25/BR).
- **436 Oceanfront Drive, Unit 106, Longbeach, NY** – On January 30, 2023, a UCC financing statement was filed against IPA Asset Management, LLC in connection with a mortgage against this premises indicating that IPA Asset Management is the 100% owner of the record owner of the property, 436OF LLC. (2023 Wisdom Funding UCC For 436 Oceanfront, **Exhibit “CC”**).
- **1082 Connequot Ave, Central Islip, NY** – On August 10, 2023, IPA Asset Management, LLC took this property back at a foreclosure auction, having previously purchased the note, and then assigned the bid to 1082C, LLC and took title under that name. (Records from IPA Asset Management v. Corrado, Index No. 004053/2012, **Exhibit “DD”**).

In addition, we have identified the following undisclosed pre-action transfers:

- **724 Old Post Road, New Paltz, NY 12561** – On March 15, 2024, the debtor sold this property to Menace Management, LLC for \$1.2 million. (724 Old Post Records, **Exhibit “P”**).
- **6 Vineyard Way, Mt. Sinai** – The debtor took title to this property after a judgment of foreclosure was entered, then was the successful bidder at auction, but assigned its bid to 6VIN, LLC, which took title on or about October 18, 2024 for \$450,000, and then sold the property on or about April 8, 2025 for \$667,500. (6 Vinyard Records, **Exhibit “FF”**).

- **145 Hunters Drive, Syosset** – On November 12, 2025, so as to use the automatic stay to cancel a foreclosure auction that was scheduled for November 19, 2025, the debtor recorded a deed this property, which it had been holding unrecorded since 2017. (145 Hunters Drive Records, **Exhibit “GG”**) A month later, on December 19, 2025, the Debtor commenced an action seeking to vacate the deed on consent as part of a settlement that had been reached with the prior owner and the bank, and the foreclosing lender’s mortgage was thereafter redeemed. *Id.*
- **15 Barberry Road, West Islip, NY, 11795** – the Debtor negotiated a short sale of this property on December 29, 2023 for the sum of \$600,000, which was paid by another entity, Barberry Partners, LLC, which then sold the property a year later for \$790,000. (15 Barberry Records, **Exhibit “HH”**)
- **170 Hamlet Drive, Mt. Sinai** – The debtor acquired this property for the sum of \$620,962.00 on or about July 27, 2022, and the same day transferred it for no consideration to 170H LLC. (170 Hamlet Drive Records, **Exhibit “II”**).
- **82 Yale Avenue, Oakdale** – On July 20, 2023, the debtor commenced an action, as managing agent of 82YA, LLC, to collect unpaid rents from a former tenant. (82 Yale Records, **Exhibit “JJ”**). David DeRosa submitted an affidavit indicating that the property had been rented out at \$3,600 per month and they were seeking back rent from a tenant who vacated the premises in 2020. *Id.* 82YA, LLC sold the premises for \$900,000 on or about April 1, 2025, and the Debtor voluntarily discontinued its rent collection action in June 2025. *Id.*

IV. THE DEBTOR FAILED TO DISCLOSE ITS TRANSACTIONS, AGREEMENT, AND INTERCONNECTED OPERATIONS WITH AFFILIATED ENTITIES

There is a well-documented pattern of the Debtor, IPA Asset Management, LLC, holding itself out as the managing agent for all of DeRosa's entities, with all of his companies using the same office, phone number, staff, sharing bank accounts, and the staff identifying themselves as being employed by IPA Asset Management. A third party dealing with any of DeRosa's entities would get the impression, as he himself claims in online promotional material (**Exhibit "A"**), that IPA Asset Management, LLC is a multi-million dollar umbrella entity through which he operates a relatively large portfolio of rental properties and other real estate investments. From this proceeding, however, it appears the Debtor does not have its own bank account, and there is ample evidence showing that all of DeRosa's various entities' finances and operations are heavily comingled. In many instances there are unrecorded deeds, some of which can be identified by reviewing landlord tenant records, or the state court foreclosures where the same group of four or five attorneys who regularly represent DeRosa and his entities are purporting to appear on behalf of the borrower, but a thorough investigation of the Debtor's and its affiliates' books and records is necessary to determine the Debtor's actual income and assets.

Notable affiliate entity relationships that the Debtor has failed to fully disclose include:

- **Mid-Hudson Property Management, LLC** – Per the Debtor's own operating reports, it operates rental properties using Mid-Hudson's bank account; Mid-Hudson is paying its counsel in this bankruptcy; and when the Debtor refunded a tenants' security deposit the check came from Mid-Hudson. (See **Exhibit "S"**). The Debtor and Mid-Hudson's funds are comingled, and Mid-Hudson has assets. Notably,

in 2023, Mid-Hudson Property Services, LLC, made two below-market-rate loans to entities controlled Iskyo Aronov (who is awaiting sentencing under Case No. 19-cr-408) so as to redeem the mortgages on those properties and prevent foreclosure auctions from going forward, advancing \$1,425,000 for 286 Tomkins Avenue, Brooklyn, and \$1,598,300 for 992 Hancock Street, Brooklyn. (2023 Aronov Loans, **Exhibit “KK”**).

- **Long Island Investments, LLC** – This entity appears to purchase notes on distressed properties or bid at foreclosure auctions. DeRosa has repeatedly submitted state court filings on behalf of IPA Asset Management, LLC as the “loan servicer” and “attorney in fact” for this entity. (LI Investment Records, **Exhibit “LL”**). From a limited review of litigation involving this entity, it appears the Debtor may have or have had an interest in the following properties:
 - 250 Saint Marks Avenue, Freeport, NY (603259/2020)
 - 30 – 32 Truxton Road, Island Park (009746/2015)
 - 82 Powell Avenue, Southampton (610242/1017)(Sold for \$2.35 Million in 2025)
 - 11 Railroad Street, Huntington Station (Index No. 609683/2017)(sold for \$350,000 in 2024)

Id.

- **IPE Realty LLC** – The Debtor describes this entity in its schedules as having a month-to-month rent free lease for (which appears to be an attempt at a clever way of saying the Debtor is having rent paid to this entity), IPE Realty is referenced as an affiliate on its website (**Exhibit “A”**), and there is evidence that the Debtor instructed tenants to make rent payments to this entity (See **Exhibit “S”**). This entity appears to use the same office, staff (who all use @ipellc email addresses) and phone number, but it is a licensed real estate brokerage (NYS License No. 109931132).
- **21 Oak Street, Albertson (210A, LLC), and other similar LLC’s** – DeRosa took control of this property, which is subject to an FHA mortgage, and began renting it out for \$3,900 after obtaining

a deed signed by two of numerous reputed heirs to the deceased prior owner. (21 Oak Records, **Exhibit “LL”**, Nassau Co. Index Nos. 006672/2015, 610834/2024, 612607/2024 and 624844/2025). The remaining heirs are suing for partition and sale, and to recover the rents or part thereof. *Id.* In a recent deposition, DeRosa explained that his single-purpose LLC’s are merely shells with no bank accounts or separate existence, set up solely for liability purposes, but the properties are generally managed under the name of IPA Asset Management, LLC, and he may direct that rent be paid to one of his other entities. The Debtor’s state court counsel convinced the other heirs to withdraw their claims against the Debtor, but has filed a counterclaim against them seeking damages in state court for allegedly violating the automatic stay in this action by naming the Debtor as a party before they were aware of this bankruptcy.

CONCLUSION

WHEREFORE, it is respectfully submitted that David DeRosa and the Debtor have engaged in fraud on the Court and appropriate sanctions should be imposed. Additionally, law enforcement referrals should be considered, as DeRosa and the Debtor’s flagrant misrepresentations and omissions to the Court likely constitute bankruptcy fraud under 18 U.S.C. §§ 152(1, 2, 3, 7 and 9) and 157, and the underlying facts and circumstance are suggestive of violations of, *inter alia*, 18 U.S.C. §§ 641, 1001, 1012, 1341, 1343, 1344, 1956, 1957, 1962, and 12 U.S.C. § 1709-2.

Dated: August 25, 2026

Respectfully submitted,
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